

Property Conditions and Disclosures

STUDY SHEET

Ways To Gather Material Facts

- Have seller complete disclosure/disclaimer form
- Check public records
- Inspect property
- Review survey data

Caveat Emptor VS. Full Disclosure

Caveat Emptor - Seller makes no representations as to the property's condition. Let the buyer beware!

Full Disclosure - Seller must proactively disclose any known defects.

Buyer's option If seller fails to disclose a known defect

- Terminate the agreement and ask for a refund of earnest money.
- Ask the seller to make necessary repairs and or provide a credit to the buyer.
- Sue the seller for breach of contract or fraud

MI Seller Disclosure Act

All sellers of one- to four-family residential properties must provide buyers, on or before entering into a sales contract, the Seller Disclosure Statement. Failure to provide the buyer with the form in a timely manner could result in the buyer rescinding the contract late in the process. The sooner the disclosure is provided, the sooner the seller will know the buyer's intentions with regard to the disclosure.

Examples Of Material Facts

- Structural issues: roof wear, cracked foundation, damaged fireplace, broken windows
- Operating system issues: faulty heating and cooling systems, leaky plumbing, worn electrical
- Additions and alterations: were permits pulled? Are changes up to code?
- Encroachments and easements: Are there any and how do they impact the property?
- Exterior damage caused by fire, water, hail, etc.
- Exterior or interior environmental hazards: lead-based paint, radon, asbestos, mold, pest infestation, underground storage tanks
- Location considerations: near flood zone, wetlands, conservation areas, historical district

Stigmatized Properties To Disclose Or Not

- Don't have to disclose if a stigmatizing event occurred
- Can't disclose HIV/AIDS status of seller or prior owner (fair housing violation)
- Don't have to disclose nearby registered sex offender but per Megan's Law, buyers should be directed to websites where this information can be found